nuant

REPORT

The Institutional Guide to Compliance in Cryptocurrencies and DeFi



January 2024

Table of Contents

Introduction **3**

Regulatory Requirements Governing Compliance in DeFi **4**

European Union **5**

Elsewhere in Europe **6**

United States **7**

Institutional Solutions for Compliance in DeFi **8**

- Compliant Wallets 9
- Compliant Applications 9
- Portfolio Monitoring Tools 10

Authors and Contributors **11**

References and Further Reading **12**

Introduction

The opportunities inherent in cryptocurrency and decentralised finance are proving too intriguing for institutions to ignore. For example, in April 2023, asset management behemoth Franklin Templeton announced it was putting its U.S. Government Money Market Fund on the Polygon blockchain. The Monetary Authority of Singapore has also experimented with trading tokenized versions of central bank assets using the Aave protocol. In a survey of US-based institutional investors published in February, eight out of ten said they were more likely to use DeFi protocols than they had been a year previously, even despite the tumultuous events of 2022.

However, despite the growing interest and ongoing developments in the sector, most institutional investors will cite compliance as the biggest barrier to entering crypto and decentralised finance. This paper will consider the compliance requirements for institutions participating in DeFi and examine the types of tools and services that have emerged to support institutions in remaining compliant while venturing into this emerging segment.

Regulatory Requirements Governing Compliance in DeFi



The regulatory landscape around digital assets is always evolving, which is one of the main compliance challenges facing institutions. This is a brief snapshot of the regulatory landscape and requirements as of May 2023.

General requirements

The Financial Action Task Force imposes minimum general requirements on what it calls "Virtual Asset Service Providers (VASPs)," a broad term encompassing any entity handling cryptocurrencies on behalf of customers. That definition would include crypto funds, as well as exchanges and custodians. The requirements take the form of the "Travel Rule," so-called because it requires VASPs to collect KYC data of customers transacting in cryptocurrencies and to share it with the VASP of the counterparty to the transaction: the data travels with the transaction.
However, since many decentralized protocols are fully automated, there is no entity handling transactions; merely smart contracts on a blockchain interacting with a self-custodial wallet.

Thus, many DeFi applications in their raw format represent a gray area for the enforcement of the Travel Rule, and without a compliance-based intervention, pose a potentially unquantifiable risk to institutions.

European Union



The E.U.'s landmark Markets in Crypto Assets regulation, known as MiCA, was ratified by the European Parliament earlier this year, paving the way for it to come into force between 2024 and 2025.

Hailed as the first regulatory framework of its kind in the world, MiCA will impose capital requirements and safeguards (including practices such as best execution) and will require registration on the part of crypto-asset service providers.

MiCA also brings in MiFID-type rules regarding investor risk assessments and the transparency of information provided to potential clients.

It is worth noting that MiCA introduces some ambiguity for DeFi protocols by referencing services provided in a "fully decentralised" manner. Given that all DeFi protocols have some centralised elements, such as software development or front-end interface hosting, it is difficult to foresee how the E.U. regulators will test the concept of "fully decentralised.

Elsewhere in Europe



In the United Kingdom, the government is drawing up new cryptocurrency regulations. There is no date set for when the legislation will be put to a parliamentary vote; however, one M.P. previously indicated that it could be within the next 12 months.

Currently, the Financial Conduct Authority oversees cryptocurrency service providers, although the only requirement is to ensure that adequate anti-money laundering measures are in place.
Cryptocurrency operators could do worse than set up a base in crypto-friendly Switzerland.

The comprehensive Blockchain Act makes provision for a range of on-chain innovations, including tokenisation of assets and DeFi innovations such as DLT-based trading facilities. Operators must undergo licensing via the country's financial regulator, FINMA.

United States



The United States has a rapidly evolving regulatory situation, but given U.S. regulators approved bitcoin ETFs, it has dramatically broadened access to the 15-year-old cryptocurrency. The Securities and Exchange Commission declared effective key filings from the markets seeking to list the groundbreaking products. They will begin trading in January 2024.

Roughly a dozen companies, including BlackRock, Fidelity and Grayscale, sought to create bitcoin (BTC) ETFs. These companies have announced slashes in planned fees to charge investors, suggesting a fierce battle to win investors' money is ahead. These are spot ETFs, meaning they hold bitcoin itself, versus the already-approved bitcoin futures ETFs, which hold derivatives contracts tied to BTC.

The green light from the SEC follows years of delays and outright rejections of numerous attempts to launch spot bitcoin ETFs. It also comes just a few months after the agency was handed a resounding loss in court. The D.C. Circuit Court of Appeals in August ruled the SEC was "arbitrary and capricious" in its decision to reject Grayscale's attempt to convert its roughly $26 billion Grayscale Bitcoin Trust (GBTC) into a spot ETF.

Advocates for a spot bitcoin ETF have long argued that a regulated trading product focused on the world's oldest cryptocurrency would allow institutional and retail clients to gain exposure to bitcoin's price movements without requiring them to set up wallets or otherwise directly invest in the digital asset. ETF shares, for example, will be available to any U.S. investor with a brokerage account.

Institutional Solutions for Compliance in DeFi



With a patchwork of regulations in place, there is no “one size fits all” solution for institutional DeFi compliance. Furthermore, as a nascent area, the landscape of available solutions is still relatively bare. However, there are several types of tools and services where a handful of operators are focused on delivering institutional-grade solutions that bring sufficient transparency to transactions to enable a satisfactory assessment of risk.

These fall into three categories:

1. compliant wallets,
2. compliant applications, and
3. portfolio management tools.

Compliant Wallets

Compliant wallets are a new generation of self-custodial hot wallets with built-in features to enable compliance. Compliant wallets allow institutional users to set risk profiles or create customised rules based on their organisation or jurisdiction.

Users can perform automated Know Your Customer and Know Your Transaction checks by scanning on-chain activity of potential counterparties. They can also provide risk assessments in line with the institution's risk profile, maintaining records for audit purposes and flagging for periodic renewals as required.

These checks are designed to detect unusual activity, such as the use of coin mixers or previous interactions with known suspicious wallets or services. They can also enable post-transaction monitoring to check if counterparties engage in risk-based activities after the event.

Compliant wallet providers include MetaMask Institutional and NexeraID. MetaMask is a market leader for Ethereum with a simple U.I. and an established reputation, whereas NexeraID (a sister company of Nuant) offers greater flexibility and programmability for professional portfolio managers, as well as support for multiple blockchains.

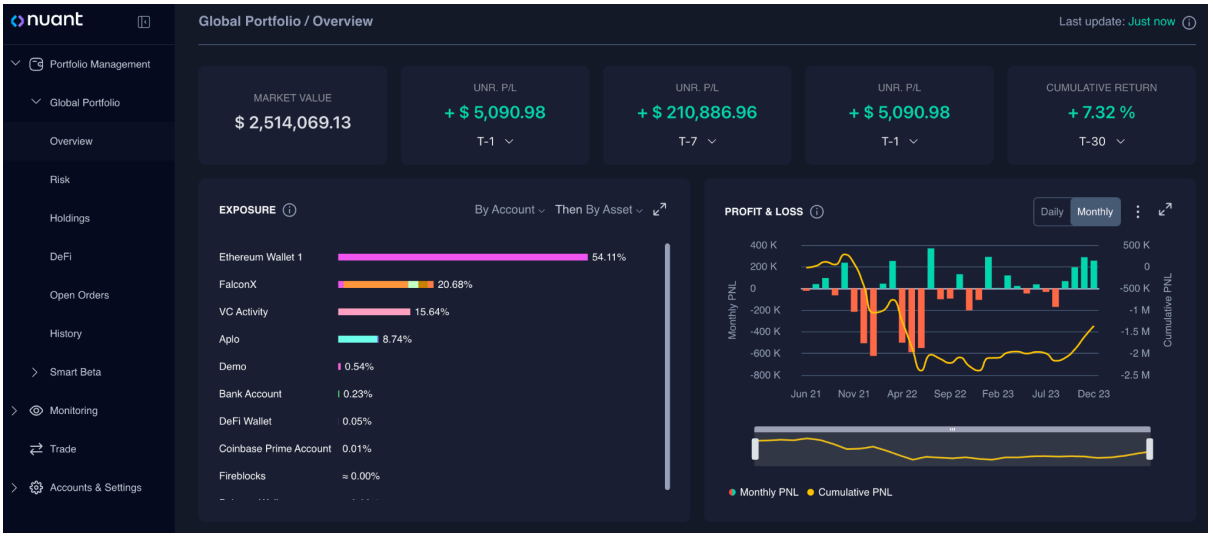
Compliant Applications

Compliant applications are DeFi applications that focus on enabling automated, disintermediated transactions between counterparties while removing the opacity of pseudonymous participation. As such, they offer compliant access to the DeFi sphere with its generous yields. Participation is permissioned, so entities must be whitelisted before they can provide liquidity or take out lines of credit.

A key advantage to compliant DeFi is that by removing transaction anonymity, it becomes possible to better assess risk. This enables borrowing with lower or no collateral – a new phenomenon in the unregulated DeFi markets, where participants are generally required to overcollateralize their loans as the price for pseudonymity.

Examples of compliant applications include Aave's Arc and Archblock (formerly TrueFi/TrustToken, issuers of the TrueUSD stablecoin), both of which offer access to whitelisted lending pools.

Portfolio Monitoring Tools



A central component of compliance is risk monitoring and reporting, which is historically an area where asset managers have faced challenges in the digital asset arena due to a lack of adequate portfolio management tools. These tools support compliance by integrating with a wide array of exchanges, wallets, and custodians, allowing asset managers to view their entire holdings in a single view.

Real-time and historical reporting and analytics can support transparent conversations with clients regarding risk and help maintain the necessary audit trails, while in-built research tools enable full due diligence on tokens and projects. These tools can also support the manual investigation of suspicious tokens or transactions by providing data in context.

Nuant's cutting-edge portfolio monitoring application integrates with 51 blockchains and 28 exchanges, as well as custodians, market aggregators, and DeFi protocols. Institutional clients seeking to level up their digital asset capabilities can access integrated risk metrics, analytics, and insights via a combination of on-chain and market data.

Robust portfolio monitoring is the cornerstone of a comprehensive risk and compliance strategy, so book your demo today.

Authors and Contributors



Arthur Micoulet
Chief Product Officer
arthur.micoulet@nuant.com

Market Finance Engineer with 10+ years experience in Product and Consulting. 7+ years experience in Blockchain Former CPO at Nalo (Acquired) Co-Founder at DeFi France.



Johann Sosnowicz
Product Director
johann.sosnowicz@nuant.com

Executive with 15+ years' experience in SaaS B2B start/scale up including 10 years in traditional FInance at Broadridge focusing on low touch solutions.



Kean Gilbert
Sales Director
kean.gilbert@nuant.com

7+ years of experience in Web3, including consulting at Deloitte's EMEA Blockchain Lab and as a Sales Director at ConsenSys, focused on Metamask Institutional, Codefi Staking and Infura.

References and Further Reading

Coindesk (2023, April 23). [online] Available at: "A $1.4T Financial Giant, Franklin Templeton, Expands Money Market Fund on Polygon".

DAngelo, C. (2022, November 16). [online] Available at: "The Travel Rule for Crypto".

UK Government (2023, April 11). [online] Available at: "Factsheet: Cryptoassets technical".

The Defiant (2023, February 14). [online] Available at: "Institutional Investors Eyeing Return to DeFi: Survey".

Bloomberg. (2023, May 9). [online] Available at: "Jane Street, Jump Slow Crypto Trading As US Regulators Crack Down".

Kharpal, A. (2023, April 18). [online] Available at: "Britain could see crypto-specific regulation in the next 12 months, top lawmaker says".

Nasdaq. (2022, April 26). [online] Available at: "Lacking Regulatory Clarity: The Single Biggest Obstacle To Institutional Crypto Adoption In U.S".

Nuant Insights. (2022, October 4). [online] Available at: "EU MiCA Regulation is Coming".

SIF (2022, December 23). [online] Available at: "SIF, S. S. for I. F".

Decrypt. (2022, November 3). [online] Available at: "Singapore Tests Institutional DeFi on Ethereum, Welcomes USDC Issuer".


nuant